

Tech Mahindra Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.techmahindra.com/
Sector	nan
Market Cap	3,021,095.64 Cr
PE Ratio	57.4
PB Ratio	7.43
Dividend Yield	0.64 %

Financial Quality

ROE	8.63
ROCE	11.9
CFO Quality	High Quality
FCF CAGR	14.32%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Low Reinvestment
Debt Trend	Stable Debt
Leverage	Low

Business Overview

Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable.